

Expense Monitoring & Fraud Detection Policy

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APPROVED —
ACTIVE

1. Purpose & Scope

This policy defines the governance framework for AI-assisted expense anomaly detection, fraud identification, and escalation procedures across all TechCorp financial operations. It establishes how the Enterprise AI Platform monitors transactions for suspicious patterns while ensuring that every fraud investigation is led by qualified human professionals and every escalation follows a defined, auditable process.

This policy applies to all Finance Department personnel involved in expense management and fraud investigation, Internal Audit, and all employees and contractors who submit expenses or initiate financial transactions. It operates alongside the **Financial AI Governance Policy (FIN-AI-001)** and the **Financial Controls & Audit Trail Policy (FIN-CTL-001)**.

2. AI Platform Integration

The Finance Department operates an AI-driven expense monitoring and fraud detection suite on the Enterprise AI Platform, with alerts routed through a dedicated investigation workflow co-managed with the **Security Department** and the **Legal Department**. Core integrations include:

- Real-Time Transaction Anomaly Detector** — AI continuously scores every expense transaction against normal behavior baselines for the employee, department, vendor, and category, flagging anomalies for analyst review with a composite risk score and the contributing factors.
- Fraud Pattern Recognition Engine** — AI trained on known fraud typologies (duplicate invoices, split purchases to avoid approval thresholds, ghost vendors, personal expense miscoding, collusion indicators) scans the full transaction corpus nightly for pattern matches.
- Vendor Integrity Verifier** — AI cross-references vendor master data against external sanction lists, duplicate vendor records, and employee-vendor relationship databases, flagging potential conflicts for **Legal** review and vendor record remediation by **Operations**.
- Investigation Case Manager** — AI-assisted case creation, evidence assembly, and timeline construction for every fraud investigation, with role-based access ensuring only authorized investigators from Finance, Internal Audit, Security, and Legal can access active case data.

Connected Departments: Security (fraud investigation coordination & threat intelligence) • Legal (investigation oversight & regulatory reporting) • Internal Audit (fraud control testing & investigation independence) • HR (employee discipline & termination procedures) • Operations (vendor management & procurement controls) • IT (platform access & data pipeline integrity)

3. Permitted AI-Assisted Monitoring Activities

Activity	AI Role	Human Oversight Required
Transaction anomaly detection	Continuous scoring & flagging	Fraud analyst reviews all high-risk flags within 24 hours
Fraud pattern scanning	Nightly corpus analysis & pattern matching	Fraud analyst validates all pattern matches before investigation opens
Vendor integrity screening	Cross-reference & conflict flagging	AP manager reviews flags; Legal reviews conflict-of-interest alerts
Investigation evidence assembly	Timeline construction & document gathering	Lead investigator validates completeness and directs additional collection
Expense policy compliance checking	Rule-based validation & outlier flagging	Expense approver reviews flags before approval or rejection
Fraud risk reporting	Trend aggregation & metric calculation	CFO and Audit Committee review quarterly reports; Internal Audit validates

4. Prohibited Activities

The following are strictly prohibited under this policy:

- AI auto-rejection or auto-approval of transactions based solely on anomaly scores.** AI may flag and recommend, but every expense rejection or approval decision must be made by a human with the appropriate approval authority.
- AI determination of fraud conclusion.** AI identifies patterns and assembles evidence. The determination that fraud has occurred — and any resulting action against an employee or vendor — must be made by human investigators following the investigation protocol co-maintained by Legal, HR, and

- Security.
- **Bypassing the investigation case manager for fraud investigations.** All investigations must be documented in the approved case management system. Offline or undocumented investigations are prohibited to ensure audit trail completeness and investigative integrity.
 - **Disclosing AI fraud scores or investigation status to subjects of investigation.** Fraud detection data and active investigation information are Restricted-access. Unauthorized disclosure to investigation subjects, their colleagues, or external parties is prohibited and may constitute obstruction.
 - **Modifying or disabling anomaly detection thresholds without approval.** Changes to fraud detection sensitivity, whitelisting rules, or monitoring scope require documented approval from the Controller and Security.

5. Investigation Procedures & Data Handling

All expense monitoring and fraud detection activities must comply with TechCorp's **AI Safety Guidelines** (AI Department), the **Data Protection Standards** (Security Department), and applicable employment and privacy laws. Specific requirements:

- AI-flagged anomalies are triaged into three tiers: high-risk (investigation required within 24 hours), medium-risk (reviewed within 5 business days), and low-risk (aggregated for quarterly trend analysis).
- Fraud investigations follow the standardized investigation protocol: case creation with AI-assembled evidence, lead investigator assignment, evidence review and additional collection, subject interview if warranted (with HR and Legal presence), findings documentation, and case closure with disposition recorded.
- All investigation evidence is stored in the Investigation Case Manager with access restricted to the investigation team; evidence is retained for 7 years minimum per the retention schedule maintained by Legal.
- Confirmed fraud cases involving employees are escalated to HR for disciplinary action and to Legal for external reporting assessment; cases involving vendors are escalated to Operations for contract action and to Legal for potential recovery proceedings.
- Whistleblower reports submitted through the ethics hotline are integrated into the AI anomaly detection feed for cross-referencing, but the hotline report source is protected and never included in AI training data or accessible outside the investigation team.

6. Anomaly Detection Quality Standards

Finance and investigation personnel must adhere to TechCorp's **Prompt Engineering Standards** when configuring AI monitoring. Detection-specific requirements include:

- Anomaly detection baselines must be calibrated per department, employee level, and expense category; one-size-fits-all thresholds produce excessive false positives and erode investigator effectiveness.
- Fraud pattern recognition prompts must be updated quarterly with new typologies identified from internal cases and industry threat intelligence shared by Security.
- Investigation case summaries generated by AI must include the anomaly trigger, evidence sources, timeline, and recommended next steps for the lead investigator to approve or redirect.
- False positive rates are measured monthly; if more than 70% of high-risk flags result in no action after investigation, the detection thresholds are reviewed and recalibrated by Finance and the AI Department.
- All fraud detection models and prompt templates must be version-controlled and approved by the Controller before deployment.

7. Roles & Responsibilities

Role	Responsibility
Chief Financial Officer (CFO)	Overall fraud detection and investigation accountability; Audit Committee reporting on material fraud findings; approval of fraud investigation protocol changes.
Financial Controller	Anomaly detection program oversight; investigation case quality review; fraud detection threshold approval; coordination with Internal Audit on control implications.
Fraud Analyst	Daily triage of AI-flagged anomalies; initial investigation and evidence review; case documentation; escalation recommendation to lead investigator for high-severity findings.
Lead Investigator	End-to-end investigation ownership for confirmed fraud cases; evidence sufficiency determination; subject interview leadership; findings documentation and disposition recommendation.
Internal Audit	Independent validation of fraud detection program effectiveness; investigation quality reviews; control gap identification from fraud findings; Audit Committee reporting.
Security Department	Fraud threat intelligence; cyber-fraud investigation coordination; access and system log analysis for investigations; investigation data protection.
Legal Department	Investigation protocol compliance; employment law guidance; regulatory reporting determination for material fraud; recovery action legal support.
HR Department	Employee disciplinary process for confirmed fraud; termination procedures; investigation subject rights compliance; whistleblower protection enforcement.

Operations Department	Vendor management action for confirmed vendor fraud; procurement control remediation; invoice and PO process integrity improvements.
AI Department	Fraud detection model accuracy; anomaly scoring calibration; pattern recognition engine updates; detection AI prompt governance.

8. Incident Response & Escalation

Any of the following triggers the fraud escalation procedure:

- AI-detected anomaly with composite risk score above the high-risk threshold — Fraud Analyst reviews within 24 hours; if credible indicators of fraud are confirmed, case opened and Lead Investigator assigned within 48 hours.
- Confirmed or probable fraud exceeding \$10,000 — CFO and Controller notified within 24 hours; Legal assesses external reporting obligations within 72 hours; Audit Committee notified at next scheduled meeting or sooner if material.
- Confirmed or probable fraud exceeding \$100,000 or involving senior management — CFO and General Counsel notified immediately; board notification within 48 hours; independent investigation considered per the protocol maintained by Legal.
- Fraud pattern indicating systemic control failure — Controller and Internal Audit notified within 24 hours; compensating controls activated; control remediation plan within 10 business days.
- External fraud (vendor, customer, or third-party) — Controller, Security, and Legal notified within 24 hours; affected vendor/customer relationship managed by Operations or Sales; law enforcement referral assessed by Legal.

All escalations are documented in the Investigation Case Manager. A post-investigation review is conducted within 15 business days of case closure to identify control improvements and update fraud detection models. Quarterly fraud metrics are reported to the CFO and Audit Committee.

9. Training & Compliance

- All Finance personnel must complete the Fraud Awareness & AI Detection Overview training within 30 days of hire and annually thereafter.
- Fraud analysts and investigators must complete the AI-Assisted Fraud Investigation certification covering anomaly triage, evidence handling, investigation procedures, and case management before receiving Investigation Case Manager access.
- Department heads and managers with approval authority must complete the Expense Policy & Fraud Red Flags training covering common fraud indicators, approval responsibilities, and escalation obligations.
- Quarterly fraud detection effectiveness reviews are conducted by the Controller and Internal Audit; AI model false-positive and false-negative rates are reported to the AI Department for calibration.
- Non-compliance with this policy, including failure to escalate suspected fraud or unauthorized disclosure of investigation information, is subject to immediate access revocation and the progressive discipline framework administered by HR, up to and including termination.

10. Review & Revision

This policy is reviewed every 6 months by the CFO, Financial Controller, Internal Audit Lead, and Lead Investigator, with input from the Security Department (for fraud threat intelligence and investigation security), Legal Department (for investigation protocol and regulatory compliance), HR Department (for employee-related investigation procedures), Operations Department (for vendor fraud and procurement controls), and AI Department (for detection model accuracy and calibration). Revisions are versioned, approved by the CFO, and synchronized with updates to the Financial AI Governance Policy, the Financial Controls & Audit Trail Policy, and the Security Incident Response Plan. Emergency revisions triggered by significant fraud incidents or control failures follow an accelerated 14-day review cycle with Audit Committee notification.

Referenced Policies: Financial AI Governance Policy (FIN-AI-001) • Financial Controls & Audit Trail Policy (FIN-CTL-001) • AI Safety Guidelines (AI Department) • Prompt Engineering Standards (AI Department) • Data Protection Standards (Security Department) • Employee Handbook & Code of Conduct (HR Department) • Corporate Compliance & Data Governance Policy (LEG-CORP-002)